

BUS23-2

Business Models & Value Creation

Canvas, typologies, unit economics, defensibility, and stress-testing

How value is created, how it is captured, and where it is structurally fragile.

Albert School — 22 hours

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1 The Business Model Canvas as a questioning scaffold

A business model describes how an organisation creates, delivers, and captures value. The Business Model Canvas represents a business model as nine blocks. It is used here not as a poster to fill in but as a questioning scaffold: each block is a question whose answer can be assumed or validated.

1.1 The nine blocks, read in logical order

Definition 1 The nine blocks of the Business Model Canvas:

1. **Customer segments** — the distinct groups the firm serves.
2. **Value propositions** — the bundle of products and services that creates value for each segment.
3. **Channels** — how the value proposition reaches each segment.
4. **Customer relationships** — the type of relationship established with each segment (e.g. self-service, dedicated support, community).
5. **Revenue streams** — how the firm earns money from each segment.
6. **Key resources** — the assets required to deliver the model.
7. **Key activities** — the actions the firm must perform.
8. **Key partnerships** — the external suppliers and partners.
9. **Cost structure** — the costs incurred to operate the model.

A logical reading order starts from the customer (segments, value proposition, channels, relationships, revenue), then moves to the infrastructure that delivers it (resources, activities, partnerships, cost). Revenue streams and cost structure together determine whether the model is economically viable.

1.2 Assumptions, dependencies, and fragilities

For any real case, each cell is in one of two states:

Definition 2 A cell is **assumed** when its content is a hypothesis not yet supported by evidence; it is **validated** when evidence shows the hypothesis holds. Moving a cell from assumed to validated requires naming what evidence would do so.

Reading the canvas as a questioning scaffold means identifying:

- **hidden assumptions** — cells stated as fact but in reality unvalidated;
- **critical dependencies** — cells whose failure would break the whole model (e.g. a single key partner or channel);
- **structural fragilities** — points where the model is exposed to a shock it cannot absorb.

Exercises

1. For a real SME or early-stage venture, fill in the nine blocks. For each cell, mark it assumed or validated and state what evidence would move an assumed cell to validated.
2. On the same case, name the hidden assumptions, the critical dependencies, and the structural fragilities.

2 Business model typologies

A typology classifies a business model by its economic logic. Each type has **viability conditions** — what must be true for the model to work.

Definition 3 Common business model typologies:

- **SaaS (Software as a Service)** — software delivered by subscription; viable when retention is high and the cost of serving an additional user is low.
- **Marketplace** — a platform matching two sides (buyers and sellers); viable when both sides reach critical mass and liquidity.
- **Asset-light** — the firm owns few of the productive assets it coordinates; viable when coordination, not ownership, is the source of value.
- **Freemium** — a free tier funds and feeds a paid tier; viable when a sufficient share of free users convert to paid.
- **Razor-and-blade** — a low-margin durable good locks in sales of a high-margin consumable; viable when the consumable is repeatedly purchased and lock-in holds.
- **Subscription** — recurring payment for continued access; viable when recurring value sustains low churn.
- **B2B / B2C / B2B2C** — selling to businesses, to consumers, or to consumers through a business intermediary; each implies a different sales cycle, unit size, and channel.

2.1 Remodelling one business under several typologies

A single business can be re-architected under different typologies. Doing so changes, at minimum:

- the **activity system** — what the firm must do;
- the **unit economics** — how money is made per unit;
- the **customer relationship** — how the firm interacts with the customer.

Exercises

3. Classify a real business by typology and explain its economic logic and viability conditions.
4. Remodel one business under three different typologies. For each, state what changes structurally in the activity system, the unit economics, and the customer relationship.

3 Fundamental unit economics

Unit economics describe the economics of a single unit — one customer or one sale. The following quantities are defined once here and reused downstream; they are not recalculated in later courses.

Definition 4 **Contribution margin** is the revenue from a unit minus its variable costs:

$$\text{Contribution margin} = \text{Price} - \text{Variable cost per unit}.$$

Definition 5 **Gross margin** is revenue minus cost of goods sold, usually as a percentage of revenue:

$$\text{Gross margin (\%)} = \frac{\text{Revenue} - \text{COGS}}{\text{Revenue}} \times 100.$$

Definition 6 **CAC (Customer Acquisition Cost)** is the total sales and marketing spend divided by the number of customers acquired in the same period:

$$\text{CAC} = \frac{\text{Sales \& marketing spend}}{\text{Customers acquired}}.$$

Definition 7 **LTV (Lifetime Value)** is the total contribution a customer generates over the whole relationship. With constant gross margin per period, average revenue per period, and churn rate c :

$$\text{LTV} = \frac{\text{Average revenue per period} \times \text{Gross margin}}{c}.$$

The customer lifetime is $\frac{1}{c}$ periods.

Definition 8 The **LTV/CAC ratio** compares the value of a customer to the cost of acquiring one:

$$\text{LTV/CAC} = \frac{\text{LTV}}{\text{CAC}}.$$

Definition 9 **Break-even** is the volume at which total revenue equals total cost, so profit is zero:

$$\text{Break-even volume} = \frac{\text{Fixed costs}}{\text{Contribution margin per unit}}.$$

3.1 Viability thresholds by model type

The viable level of each ratio depends on the model type. As a working reference, a recurring-revenue model is commonly considered healthy when LTV/CAC is at or above 3 and CAC is recovered within about 12 months; the acceptable gross margin and churn differ by typology. Thresholds must be stated relative to the model, not assumed universal.

Exercises

5. On real data, calculate CAC, LTV, LTV/CAC, gross margin, break-even, and contribution margin.
6. State the viability threshold for each quantity given the business's typology, and judge whether the business meets it.

4 Value creation versus value capture

Definition 10 **Value creation** is the total value a business produces for its customers and ecosystem. **Value capture** is the portion of that value the firm retains as revenue and profit. The two are distinct: a business can create enormous value yet capture little of it.

A firm captures value through the mechanisms that let it charge for, and defend, the value it creates (pricing power, bargaining position, defensibility). Where those mechanisms are weak, created value flows to customers, suppliers, or competitors instead.

Exercises

7. On a named business, distinguish the value it creates from the value it captures, and identify the mechanism by which it does — or fails to do — each.

5 Defensibility mechanics

Defensibility is what protects captured value from competition over time. Each mechanism below can be real or illusory.

Definition 11 Defensibility mechanisms:

- **Network effects** — the product becomes more valuable as more users join. Illusory when the network is multi-homing or has no switching cost.
- **Switching costs** — the cost to a customer of moving to a competitor. Illusory when substitutes are cheap to adopt.
- **Scale economies** — unit cost falls as volume rises. Illusory when minimum efficient scale is low and rivals reach it too.
- **Proprietary data** — data a competitor cannot replicate that improves the product. Illusory when the data is commoditised or does not improve the offering.

Exercises

8. For a named business, identify its claimed defensibility mechanisms and judge for each whether it is real or illusory, with reasons.

6 Stress-testing a business model

Stress-testing models the impact of an adverse shock on the unit economics and identifies which levers matter most under that shock.

Definition 12 Two standard stress scenarios:

- **CAC-doubling** — CAC is multiplied by two; recompute LTV/CAC and payback.

- **Margin compression** — gross margin is reduced by 10 percentage points; recompute contribution margin, LTV, and break-even.

After applying a shock, the **priority levers** are the few changes (e.g. price, churn, variable cost, acquisition efficiency) that most restore viability.

Exercises

9. Take a business with known unit economics. Model the impact of a doubled CAC and, separately, of a 10-point margin compression.
10. Under each shock, identify the three priority levers and justify the choice.

7 Business model pivots

Definition 13 A **pivot** is a structural change to the business model — a genuine re-architecture of how value is created, delivered, or captured. It is to be distinguished from a **rebrand**, which changes presentation while the underlying model — and its failure — remains the same.

A pivot is genuine when it changes one or more canvas blocks in a way that alters the economic logic; it is a rebrand of the same failure when the cells that caused the problem are left untouched.

Exercises

11. For a real venture that changed direction, decide whether the change was a genuine re-architecture or a rebrand, citing which canvas blocks changed.

8 Integrated deconstruction of a real business

The course integrates the preceding tools into a single deconstruction of a real local company, defended before a jury that may include the founder.

A complete deconstruction integrates:

1. the **Business Model Canvas**, with each cell marked assumed or validated;
2. the **typology** and its viability conditions;
3. the **unit economics** (CAC, LTV, LTV/CAC, gross margin, contribution margin, break-even) on real data, with thresholds;
4. a **stress test** (CAC-doubling and margin compression) with priority levers;
5. a statement of **value creation vs. capture** and **defensibility**.

Exercises

12. Produce a complete business-model deconstruction for a real company — canvas, typology, unit economics, and stress test — and defend it before a jury.
13. Critique the canvas of that venture: name which cells are assumed vs. validated and what evidence would move each from the first state to the second.